

Annexure-I

EXPLANATORY STATEMENT PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013**Item No.1 & 2 - To consider and approve the adoption and implementation of KIVOTOS RSU SCHEME 2025 (EMPLOYEE SCHEME) & To consider and approve grant of options to identified employees equal to or exceeding one percent of the issued capital of the Company during any one year.**

The Company has always believed in rewarding its employee for their continuous hard work, dedication and support, which has led the company on a growth path. To enable more and more employees to enjoy the fruits of the phenomenal growth that the company has witnessed in the recent past, it is proposed to implement an RSU Scheme. The main objective of the scheme is to give employees, who are performing well, a certain minimum opportunity to gain from the Company's performance thereby acting as a retention tool and to attract best talent available in the market. Restricted Stock Units have long been recognized internationally, as an effective instrument, to align the interest of employees with those of the company and its shareholders, providing an opportunity to employees to share the growth of the company, and to create long term wealth in the hands of employees. Restricted Stock Units create a sense of ownership between the company and its employees, paving the way for a unified approach to the common objective of enhancing overall shareholder value.

The Board therefore proposed to evolve an Restricted Stock Units Scheme (hereinafter referred to as "the Kivotos RSU Scheme 2025") for the benefit of permanent Employees/Directors of the Company.

The explanatory statement sets out the various disclosures as required by rule 12 of **the Companies (Share Capital and Debentures) Rules, 2014** of (hereinafter referred to as "the Rules"):

A. Total number of stock options to be granted

- (i) The total number of units to be granted under this scheme shall initially not exceed 10% of the total paid up equity share capital of the company as on 08th December 2025.
- (ii) The Board may with the approval of the shareholders increase the maximum number of units under the Kivotos RSU Scheme 2025 at any time.
- (iii) One unit entitles the holder of the units to apply for one equity share of the company.

B. Identification of classes of employees entitled to participate in the RSU

The Scheme shall apply to the Eligible Employees and Directors as decided by the Board at its sole discretion, based on various criteria including, but not limited to, one or more of the following:

- a. Past performance of the Employee;
- b. Grade/ seniority of the Employee;
- c. Length of service with the Company;
- d. Potential of the Employee; and
- e. Contribution to the future growth of the Company

The above only represent generic parameters for determining the Eligible Employees and the Board may in its absolute discretion vary or modify such criteria and/ or selection and/ or the terms and conditions.

The Employee / Director shall also meet the criteria for eligibility as prescribed under the Companies Act, 2013 as stated under:

(i) The Employees and Directors, of the Company

(ii) Employees-

(a) Who are either promoter or belong to promoter group: or

(b) Holding 10% of the outstanding share capital of the Company's equity share capital at any time after the commencement of this Scheme will not be eligible for grant of units under this Scheme.

C. The appraisal process for determining the eligibility of employees to the RSU Scheme;

(i) The company has a formal performance appraisal system established wherein the performance of the employees is assessed each year on the basis of various functional and managerial parameters. The appraisal process is revised at regular intervals.

(ii) Employees and Directors would be granted Stock Units based on performance-linked parameters such as work performance, technical knowledge, period of service, designation and such other parameters as may be decided by the Board or any Committee as authorized for the said purpose by the Board from time to time.

(iii) The Board or any Committee, as authorized for the said purpose by the Board may at its discretion extend the benefits of the "Kivotos RSU Scheme 2025" to a new entrant or any existing employee on such other basis as it may deem fit.

D. The requirements of vesting and period of vesting:

The RSUs awarded would be vested subject to the time, event and performance conditions as determined by the Board from time to time. Such time-based and performance-based vesting conditions for each award would be described as part of terms and conditions of the Award letter.

- Time based vesting: The RSUs shall vest any time after the expiry of 1 (One) year from the date of the Award of the RSUs to the Employee as may be determined by the Board from time to time. The RSUs could vest in tranches. The maximum period of vesting would not exceed 6 (Six) years from the date of award.

- Performance based vesting: The Board shall be entitled to make the Vesting of any or all of the RSUs awarded to an Employee or class of Employees conditional upon the fulfilment of such performance criteria which may inter alia include Company's Performance, business performance, achievement of set business targets whether of the Employee and/or any team or group of which he is a part and/or of the Company, as may be determined by the Board.

E. The maximum period within which the options shall be vested:

The maximum period of vesting would not exceed 6 (Six) years from the date of award.

F. The exercise price or the formula for arriving at the same

The price payable by the Eligible Employee for exercising the Restricted Stock Unit granted under the Plan, which price shall be the par value of the Share of the Company from time to time

G. Exercise Period and the Process of Exercise

(i) Exercise period will commence from the vesting date and extend upto the expiry period of the unit as decided by the Board or any Committee as authorized for the said purpose by the Board. The expiry period may extend upto 6 Years from the date of grant of units. The Board or any Committee as authorized for the said purpose by the Board will decide on the Expiry period of units for Employees leaving the Company after grant of units in their favor.

(ii) The Units will be exercisable by the employees by a written application to the designated officer of the company to exercise the Units, in such manner and on execution of such documents as may be prescribed by the Board or any Committee as authorized for the said purpose by the Board under the Scheme.

(iii) The Units will lapse if not exercised within the specified exercise period.

H. the Lock-in period, if any:

The Company is a private limited company and the shares as at this date are not publicly traded. As and when the shares of the Company are traded on the Stock Exchanges as may be determined by the Company, the Company would take adequate steps to list these shares as are exercised and issued on such Stock Exchanges.

After initial public offer, the shares issued under this scheme shall be subject to locked in and will governed by the SEBI regulations/Rules as are applicable to listed company

I. the Maximum number of options to be issued per employee and in aggregate:

(i) The maximum number of units to be granted to each employee will depend upon the rank/designation of the employee as on the date of grant of units. However, no employee shall be entitled to more than such number of units as may be determined in any financial year.

(ii) The aggregate number of units to be granted under this scheme shall not exceed initially 10% of the total issued & paid up capital of the Company as on 8th December 2025.

(iii) The Board or any Committee as authorized for the said purpose by the Board shall decide on the number of units to be granted to each employee within this limit.

J. The method which the company shall use to value its options;

The Company shall follow the rules/regulations/laws applicable to accounting and disclosures to value the units including but not limited to the Indian accounting standards or the Guidance Note on Accounting for Share-based Payments as prescribed by the Institute of Chartered Accountants of India, or any other accounting principle as may be replaced from time to time.

K. The conditions under which option vested in employees may lapse e.g. in case of termination of employment for misconduct:

In the event of resignation or termination of employment of an Employee on account of misconduct, breach of the Company's policies, or violation of the terms of employment, all RSUs granted to such Employee, whether vested or unvested, shall stand immediately cancelled and lapse without any compensation.

The date of resignation or termination of employment shall mean the date of service of the notice of resignation or termination of employment, by the Employee or the Company, as the case may be, or the effective date of resignation or termination of employment, whichever is earlier.

The date of resignation or termination of employment shall mean the date of service of the notice of resignation or termination of employment, by the Employee or the Company, as the case may be, or the effective date of resignation or termination of employment, whichever is earlier.

The RSUs awarded in case of an Employee who has been suspended or in case of an Employee against whom an enquiry is being conducted for any reason, shall stand suspended and shall not vest until the enquiry is completed. In case the Employee is found guilty of misconduct, whether or not he/she is dismissed or discharged, all the RSUs awarded shall lapse.

The employee shall be deemed to continue service, while on a bona fide leave of absence, if such leave was approved by the Company in writing and if continued crediting of Service for

this purpose is expressly required by the terms of such leave or by applicable law (as determined by the Company).

In the event that an Employee who has been awarded benefits under this Scheme is transferred or deputed to a Holding or Subsidiary Company, if any, prior to Vesting of RSUs Awarded, the Vesting as per the terms of Award shall continue even after the transfer or deputation.

In the event of an acquisition of the majority of the shares of the Company by a third party, at the discretion of the Board, the unvested RSUs may be permitted to vest at an accelerated basis prior to such acquisition, subject to the minimum vesting period of one year after award having been satisfied.

Subject to the approval of the Board, the RSUs awarded to the Employee may be withdrawn and cancelled by the Company, in any of the following events:

- a) If an Employee has been dismissed from the employment of the Company for misconduct.
- b) If an Employee has abandoned his job with the Company.
- c) If an Employee is declared bankrupt
- d) The Company takes any disciplinary action against the Employee; and/ or
- e) There is a significant drop in the Employee's performance or continuous failure on his/her part to substantially perform duties; and/or
- f) There is significant drop in the performance of the relevant business vertical with which the Employee is or was associated or of the Company as a whole; and/or
- g) The Employee is engaging in wilful, reckless or grossly negligent conduct; and/or
- h) Fraud, misfeasance, breach of trust or wrongful disclosure on the part of the Employee of any secret or confidential information about the Company or its subsidiaries; and/or
- i) The Employee pleading guilty to or conviction of a felony.
- j) If an Employee after having ceased to be in employment of the Company or its affiliates, violates the Non-Compete Clause as specified in the scheme
- k) If an employee has induced any existing customer or employee to discontinue its association with the Company.

L. The specified time period within which the employee shall exercise the vested options in the event of a proposed termination of employment or resignation of employee:

In the event of resignation or termination of employment for reasons other than those stated in in the Scheme, the treatment of vested and unvested RSUs shall be determined by the Board at its sole discretion, subject always to compliance with the minimum vesting period requirements prescribed under applicable law and the terms of this Scheme.

M. A statement to the effect that the company shall comply with the applicable accounting standards:

The Company shall follow the rules/regulations/laws applicable to accounting and disclosures including but not limited to the Indian accounting standards or the Guidance Note on Accounting for Share-based Payments as prescribed by the Institute of Chartered Accountants of India, or any other accounting principle as may be replaced from time to time.

Further, the Company proposes to grant RSU to identified employees, during any one year, equal to or exceeding one percent of the issued capital (excluding outstanding warrants and conversions) of the Company at the time of grant of options as determined by the Board in accordance with Kivotos RSU Scheme 2025.

The Board in its Meeting held on the 8th December 2025 had approved the issuance of RSU to identified employees, during any one year, equal to or exceeding one percent of the issued capital (excluding outstanding warrants and conversions) of the Company at the time of grant of units and the approval of the Members by way of Special Resolution is required for the same.

The Board recommended the above resolution for your approval, as the same is in the interest of the company.

None of the Directors, Promoters, Key Managerial Persons are interested or concerned in the passing of the said resolution.

3. To consider and approve the adoption and implementation of KIVOTOS ADVISOR-RSU SCHEME 2025 (CONSULTANT / ADVISOR SCHEME)

The Board of Directors of the Company ("Board") at its meeting held on 8th December 2025 has approved the introduction and implementation of an equity-settled Restricted Stock Unit scheme titled "**Kivotos Advisor RSU Scheme 2025**" ("Advisor RSU Scheme").

The purpose of introducing the Scheme is to enable the Company to attract, retain qualified consultants and advisors who contribute to the Company's growth and long-term value creation. The Scheme aims to align the interests of such contributors with those of the shareholders by providing them an opportunity to participate in the Company's equity.

The Scheme contemplates the grant of Restricted Stock Units ("RSUs") that shall be settled by way of allotment of equity shares of the Company upon vesting, in accordance with the terms determined by the Board or any Committee authorised by the Board. The aggregate number of equity shares to be issued and allotted under the Scheme shall not exceed 1,139 (One Thousand One Hundred Thirty Nine) equity shares, including shares allotted to employees under any existing RSU arrangements. The RSUs may be granted in one or more tranches, on such terms and conditions, including vesting schedule, eligibility criteria, lock-in, and other parameters, as may be decided by the Board/Committee. The Scheme provides for the issue of equity shares upon settlement of RSUs, approval of the members by way of a Special Resolution

is required pursuant to Section 62 of the Companies Act, 2013 and the applicable rules thereunder.

The Board recommends the resolution for approval of the members.

None of the Directors, Key Managerial Personnel ("KMP") or their relatives are in any way concerned or interested in the resolution, except to the extent of any RSUs that may be granted to them, if they are eligible under the Scheme.

**By Order of the Board of Directors
For KIVOTOS AI TECHNOLOGY PRIVATE LIMITED**

**KARTHIK
A IYER** Digitally signed by
KARTHIK A IYER
Date: 2026.01.12
11:51:08 +05'30'

Karthik Anantha Subramanian Iyer

DIN: 10657489

Director

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Date: 12/01/2026

Place: Bangalore